



Bill Number: H.B. 2752

Mesnard Floor Amendment

Reference to: House engrossed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Allows the President of the Senate and the Speaker of the House of Representatives to designate individuals to serve in their place on the Arizona Commerce Authority (ACA) Board.
2. Removes the annual reporting requirement for the ACA to submit to the Joint Legislative Budget Committee on trade office activities.
3. Makes technical and conforming changes.

MESNARD FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2752
(Reference to House engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Section 41-1502, Arizona Revised Statutes, is amended
3 to read:

4 41-1502. Arizona commerce authority; board of directors;
5 conduct of office; audit

6 A. The Arizona commerce authority is established. The mission of
7 the authority is to provide private sector leadership in growing and
8 diversifying the economy of this state, creating high quality employment
9 in this state through expansion, attraction and retention of businesses
10 and marketing this state for the purpose of expansion, attraction and
11 retention of businesses.

12 B. The authority is governed by a board of directors consisting of:

13 1. The governor, who serves as chairperson.

14 2. The chief executive officer.

15 3. Seventeen private sector business leaders who are chief
16 executive officers of private, for-profit enterprises. None of these
17 members may be an elected official of any government entity. These
18 members must be appointed from geographically diverse areas of this state
19 and not all from the same county. These members shall serve staggered
20 three-year terms of office beginning and ending on the third Monday in
21 January. These members shall be appointed as follows:

22 (a) Nine members who are appointed by the governor.

23 (b) Four members who are appointed by the president of the senate.

24 (c) Four members who are appointed by the speaker of the house of
25 representatives.

26 4. The following as ex officio members without the power to vote:

27 (a) The president of the senate [OR THE PRESIDENT'S DESIGNEE].

28 (b) The speaker of the house of representatives [OR THE SPEAKER'S
29 DESIGNEE].

1 (c) The president of the Arizona board of regents.

2 (d) The president of each state university under the jurisdiction
3 of the Arizona board of regents.

4 (e) One president of a community college who is appointed by a
5 statewide organization of community college presidents.

6 (f) The chairperson of the governor's council on small business, or
7 its successor.

8 (g) The chairperson of the workforce Arizona council established by
9 executive order pursuant to section 41-5401.

10 (h) One member of the rural business development advisory council
11 established by section 41-1505 who is appointed by the governor.

12 (i) The president of a statewide organization of incorporated
13 cities and towns who is appointed by the governor.

14 (j) The president of a statewide organization of county boards of
15 supervisors who is appointed by the governor.

16 C. For members who are appointed by the governor pursuant to
17 subsection B of this section, before appointment by the governor, a
18 prospective member of the board of directors shall submit a full set of
19 fingerprints to the governor for the purpose of obtaining a state and
20 federal criminal records check pursuant to section 41-1750 and Public Law
21 92-544. The department of public safety may exchange this fingerprint
22 data with the federal bureau of investigation.

23 D. The following shall serve as technical advisors to the board to
24 enhance collaboration among state agencies to meet infrastructure needs
25 and facilitate growth opportunities throughout this state:

26 1. The director of environmental quality.

27 2. The state land commissioner.

28 3. The director of the department of revenue.

29 4. The director of the office of tourism.

30 5. The director of the department of transportation.

31 6. The director of water resources.

32 7. The director of the department of insurance and financial
33 institutions.

34 8. The director of the Arizona-Mexico commission in the governor's
35 office.

36 9. The director of the office of economic opportunity.

37 10. An attorney who is appointed jointly by the president of the
38 senate and the speaker of the house of representatives and who has
39 experience litigating constitutional cases involving article IX, section 7
40 of the Arizona Constitution.

1 E. The governor shall appoint a cochairperson of the board of
2 directors from among the voting members. The board may establish an
3 executive committee consisting of the chairperson, the cochairperson, the
4 chief executive officer and additional voting members of the board elected
5 by the board. The chairperson may appoint subcommittees as necessary.

6 F. The board may request assistance from representatives of other
7 state agencies to maximize economic development opportunities by
8 leveraging their access to strategic assets and planning processes.

9 G. Board members serve without compensation but are eligible for
10 reimbursement of expenses pursuant to section 41-1504, subsection E,
11 paragraph 1.

12 H. A majority of the voting members, which must include the
13 chairperson and the chief executive officer, constitute a quorum for the
14 purpose of an official meeting for conducting business. An affirmative
15 vote of a majority of the members present at an official meeting is
16 sufficient for any action to be taken.

17 I. The board shall keep and maintain a complete and accurate record
18 of all of its proceedings. Public access to the board's records is
19 subject to section 41-1504, subsection M. The public portion of board
20 meetings shall be recorded. These recordings shall be posted on the
21 authority's website within three business days after the meeting and shall
22 remain on the website pursuant to section 38-431.01, subsection K.

23 J. The board ~~[of directors]~~, executive committee, subcommittees and
24 advisory councils are subject to title 38, chapter 3, article 3.1,
25 relating to public meetings, except as follows:

26 1. In addition to section 38-431.03, the board, executive committee
27 and subcommittees may meet in executive session for discussion about
28 potential business development opportunities and strategies that, if made
29 public, could potentially harm the applicant's, the potential applicant's
30 or this state's competitive position.

31 2. Social and travel events related to the expansion, attraction
32 and retention of businesses are not public meetings if no legal action
33 involving a final vote or decision is taken.

34 3. Activities and events held in public for the purpose of
35 announcing the expansion, attraction and retention of projects are not
36 public meetings.

37 K. The board and the officers and employees of the authority are
38 subject to title 38, chapter 3, article 8, relating to conflicts of
39 interest.

40 L. The board of directors shall adopt written policies, procedures
41 and guidelines for standards of conduct, including a gift policy, for
42 members of the board and for officers and employees of the authority.

43 M. The compensation of all officers and employees is considered a
44 public record pursuant to title 39, chapter 1.

45 N. The authority shall operate on the state fiscal year. The board
46 shall cause an annual audit to be conducted on or before October 31 of
47 each of the authority's public funds established by this chapter by an

1 independent certified public accountant. The board shall immediately file
2 a certified copy of the audit with the auditor general. The auditor
3 general may make such further audits and examinations as necessary and may
4 take appropriate action relating to the audit or examination pursuant to
5 chapter 7, article 10.1 of this title. If the auditor general takes no
6 further action within thirty days after the audit is filed, the audit is
7 considered to be sufficient.

8 0. All state agencies shall cooperate with the authority and make
9 available data pertaining to the functions of the authority as requested
10 by the authority.

11 P. The authority may not have more than one hundred full-time
12 employees, excluding any full-time employees that are funded with monies
13 other than state monies.>>

14 Sec. 2. Section 41-1504, Arizona Revised Statutes, is amended to
15 read:

16 41-1504. Powers and duties: e-verify requirement

17 A. The board ~~of directors~~, on behalf of the authority, may:

18 1. Adopt and use a corporate seal.

19 2. Sue and be sued.

20 3. Enter into contracts as necessary to carry out the purposes and
21 requirements of this chapter, including intergovernmental agreements
22 pursuant to title 11, chapter 7, article 3 and interagency service
23 agreements as provided by section 35-148.

24 4. Lease real property and improvements to real property for the
25 purposes of the authority. Leases by the authority are exempt from
26 chapter 4, article 7 of this title, relating to management of state
27 properties.

28 5. Employ or retain legal counsel and other consultants as
29 necessary to carry out the purposes of the authority.

30 6. Develop and use written policies, procedures and guidelines for
31 the terms and conditions of employing officers and employees of the
32 authority and may include background checks of appropriate personnel.

33 B. The board ~~of directors~~, on behalf of the authority, shall:

34 1. Develop comprehensive long-range strategic economic plans for
35 this state and submit the plans to the governor.

36 2. Annually update a strategic economic plan for submission to the
37 governor.

38 3. Accept gifts, grants and loans and enter into contracts and
39 other transactions with any federal or state agency, municipality, private
40 organization or other source.

41 C. The authority shall:

42 1. Assess and collect fees for processing applications and
43 administering incentives. The board shall adopt the manner of computing
44 the amount of each fee to be assessed. Within thirty days after proposing
45 fees for adoption, the chief executive officer shall submit a schedule of
46 the fees for review by the joint legislative budget committee. It is the

1 intent of the legislature that a fee shall not exceed one percent of the
2 amount of the incentive.

3 2. Determine and collect registry fees for the administration of
4 the allocation of federal tax exempt industrial development bonds and
5 student loan bonds authorized by the authority. Such monies collected by
6 the authority shall be deposited, pursuant to sections 35-146 and 35-147,
7 in an application fees fund. Monies in the fund shall be used, subject to
8 annual appropriation by the legislature, by the authority to administer
9 the allocations provided in this paragraph and are exempt from the
10 provisions of section 35-190 relating to the lapsing of appropriations.

11 3. Determine and collect security deposits for the allocation, for
12 the extension of allocations and for the difference between allocations
13 and principal amounts of federal tax exempt industrial development bonds
14 and student loan bonds authorized by the authority. Security deposits
15 forfeited to the authority shall be deposited in the state general fund.

16 4. ~~At the direction of the board~~ SUBJECT TO LEGISLATIVE
17 APPROPRIATION FOR THAT SPECIFIC PURPOSE, establish and supervise the
18 operations of full-time or part-time offices in other states and foreign
19 countries for the purpose of expanding direct investment and export trade
20 opportunities for businesses and industries in this state if, based on
21 objective research, the authority determines that the effort would be
22 beneficial to the economy of this state. ~~[ON OR BEFORE DECEMBER 1 OF EACH~~
23 ~~YEAR, THE AUTHORITY SHALL SUBMIT TO THE JOINT LEGISLATIVE BUDGET COMMITTEE~~
24 ~~A REPORT ON THE ACTIVITIES OF EACH TRADE OFFICE OPERATED BY THE AUTHORITY~~
25 ~~DURING THE PRIOR FISCAL YEAR.]~~

26 5. Establish a program by which entrepreneurs become aware of
27 permits, licenses or other authorizations needed to establish, expand or
28 operate in this state.

29 6. Post on its website on an annual basis a report that contains at
30 least the following information, and submit a copy to the governor, the
31 president of the senate and the speaker of the house of representatives:

32 (a) The cumulative progress made toward its goals for direct job
33 creation, capital investment and higher average wages and the estimated
34 number of indirect jobs and induced jobs created as a result of the work
35 and the programs of the authority.

36 (b) To the extent not prohibited by law, information on each
37 incentive application approved by the authority in the fiscal year,
38 including the amount of the incentive approved or awarded and the
39 applicant's activity that is projected or has been achieved, whichever is
40 applicable, to qualify for the incentive.

41 (c) Rural economic development outreach and impact data.

42 (d) Small business outreach and impact data.

43 7. Develop and implement written policies and procedures relating
44 to the administration of grants from the Arizona competes fund established
45 by section 41-1545.01, including the following elements:

46 (a) Procedures for documenting grantee selection and due diligence.

1 (b) Procedures for verification of information submitted by
2 grantees.

3 (c) Procedures for evaluating requests to amend grant terms and for
4 documenting decisions relating to those requests.

5 8. Notwithstanding any other law, on request of the office of
6 economic opportunity, disclose to the office of economic opportunity
7 applicant information for incentives administered, in whole or in part, by
8 the authority. Any confidentiality requirements provided by law
9 applicable to the information disclosed pursuant to this paragraph apply
10 to the office of economic opportunity.

11 9. On or before December 31 of each year, compile the data
12 collected pursuant to subsection F of this section and submit a report to
13 the governor, the president of the senate, the speaker of the house of
14 representatives and the secretary of state.

15 D. The authority, through the chief executive officer, may:

16 1. Contract and incur obligations reasonably necessary or desirable
17 within the general scope of the authority's activities and operations to
18 enable the authority to adequately perform its duties.

19 2. Use monies, facilities or services to provide matching
20 contributions under federal or other programs that further the objectives
21 and programs of the authority.

22 3. Accept gifts, grants, matching monies or direct payments from
23 public or private agencies or private persons and enterprises for the
24 conduct of programs that are consistent with the general purposes and
25 objectives of this chapter.

26 4. Assess business fees for promotional services provided to
27 businesses that export products and services from this state. The fees
28 shall not exceed the actual costs of the services provided.

29 5. Establish and maintain one or more accounts in banks or other
30 depositories, for public or private monies of the authority, from which
31 operational activities, including payroll, vendor and grant payments, may
32 be conducted. Individual funds that are established by law under the
33 jurisdiction of the authority may be maintained in separate accounts in
34 banks or other depositories, but shall not be commingled with any other
35 monies or funds of the authority.

36 E. The chief executive officer shall:

37 1. Hire employees and prescribe the terms and conditions of their
38 employment as necessary to carry out the purposes of the authority. The
39 board of directors shall adopt written policies, procedures and
40 guidelines, similar to those adopted by the department of administration,
41 regarding officer and employee compensation, observed holidays, leave and
42 reimbursement of travel expenses and health and accident insurance. The
43 officers and employees of the authority are exempt from any laws
44 regulating state employment, including:

45 (a) Chapter 4, articles 5 and 6 of this title, relating to state
46 service.

1 (b) Title 38, chapter 4, article 1 and chapter 5, article 2,
2 relating to state personnel compensation, leave and retirement.

3 (c) Title 38, chapter 4, article 2, relating to reimbursement of
4 state employee expenses.

5 (d) Title 38, chapter 4, article 4, relating to health and accident
6 insurance.

7 2. Maintain three full-time employees to serve as advocates for
8 small and rural businesses on economic development and regulatory matters
9 before cities, towns, counties or state agencies. Two of the full-time
10 employees shall be dedicated to small business growth, support and
11 regulation, one of whom shall serve as a small business ombudsman. One of
12 the full-time employees shall be dedicated to rural economic development.

13 3. On a quarterly basis, provide public record data in a manner
14 prescribed by the department of administration related to the authority's
15 revenues and expenditures for inclusion in the comprehensive database of
16 receipts and expenditures of state monies pursuant to section 41-725.

17 F. On or before September 30 of each year, each city, town and
18 county in this state shall submit to the authority the city's, town's or
19 county's statistics for the preceding fiscal year that include all of the
20 following:

21 1. The average time from the submission of an initial building
22 permit application to a certificate of occupancy.

23 2. The average time from the submission of a zoning application to
24 zoning approval.

25 3. The average time from the submission of a final plat to the
26 recordation of the final plat.

27 4. Any other statistics as determined by the authority or the
28 municipality time frames advisory committee established by section 41-1527
29 relating to municipal and county support for economic development
30 projects.

31 G. In addition to any other requirement, in order to qualify for
32 any grant, loan, reimbursement, tax incentive or other economic
33 development incentive pursuant to this chapter, an applicant that is an
34 employer must register with and participate in the e-verify program in
35 compliance with section 23-214. The authority shall require verification
36 of compliance with this subsection as part of any application process.

37 H. Notwithstanding any other law, the authority is subject to
38 chapter 3.1, article 1 of this title, relating to risk management.

39 I. The authority is exempt from title 18, chapter 1, articles 1 and
40 2, relating to statewide information technology. The authority shall
41 adopt policies, procedures and guidelines regarding information
42 technology.

43 J. The authority is exempt from state general accounting and
44 finance practices and rules adopted pursuant to chapter 4, article 3 of
45 this title, but the board shall adopt written accounting practices,
46 systems and procedures for the economic and efficient operation of the
47 authority. The authority shall adopt policies pursuant to this subsection

1 that prohibit using state monies as defined in section 35-321 to provide
2 business executives lodging, alcoholic beverages, personal transportation
3 or tickets to entertainment events for the purposes of attracting
4 businesses to this state.

5 K. The authority is exempt from section 41-712, relating to the
6 installation and maintenance of telecommunication systems.

7 L. The authority may lease or purchase motor vehicles for use by
8 employees to conduct business activities. The authority is exempt from
9 section 28-472, relating to the state motor vehicle fleet, and title 38,
10 chapter 3, article 10, relating to vehicle usage and markings.

11 M. Any tangible or intangible record submitted to or compiled by
12 the board or the authority in connection with its work, including the
13 award of monies, is subject to title 39, chapter 1, unless an applicant
14 shows, or the board or authority determines, that specific information
15 meets either of the following:

16 1. If made public, the information would divulge the applicant's or
17 potential applicant's trade secrets, as defined in section 44-401.

18 2. If made public, the information could potentially harm the
19 applicant's, the potential applicant's or this state's competitive
20 position relating to potential business development opportunities and
21 strategies.

22 N. The authority is exempt from chapter 25, article 1 of this
23 title, relating to government competition with private enterprise.

24 Enroll and engross to conform

25 Amend title to conform

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